



DECISION PARALYSIS AND THE ENDOWMENT EFFECT

Roopesh, a businessman, has come to meet with Satish, a portfolio manager.

Roopesh: *I am a businessman. I have inherited from my father a portfolio of various stocks. He was an investor and he died five years ago. I've always wanted professional help on handling my portfolio as I know nothing about stocks and my own business keeps me busy.*

Satish: *It would be a pleasure to construct a good portfolio for you. I have been in this profession for the last 20 years and have many high net worth individuals and corporates as my clients. Could I have a list of your stocks?*

Roopesh: *Here it is. Can we discuss it right now? I have already wasted five years doing nothing.*

Satish: *At a glance I can see that it is a very lopsided portfolio and drastic changes are required to balance the industry weightage. A number of stocks will have to be sold as they are not viable. Had you done something about the portfolio immediately after your father died you would not have been saddled with so many junk stocks. Since we need to act quickly I will put my comments on this sheet.*

Roopesh: *Oh, thank you so much for understanding the urgency of the situation and working on it right away. I will get everything in order and meet up with you the day after tomorrow.*

Satish: *That may not be possible as I am extremely busy. How about next week?*

Roopesh: *Satish, you know the urgency so please spare some time for me. I will adjust my schedule.*